

UNIT 1 · TOPIC 1.1

Overview of the Airline Industry

Who flies the world, who rules the skies, and how it all connects.

B.B.A. Aviation Management · Semester III · Unit 1: Overview of the Airline Industry
Air Ticketing & Fare Construction (2ACBAM32) · Arun Kumar

**BOARDING PASS**

LEARNER

STU

PROFESSIONAL

**PRO**

FLIGHT

ATF 1.1

GATE

PERIOD 1

DURATION

00:40

SEAT

SEM III

CLASS

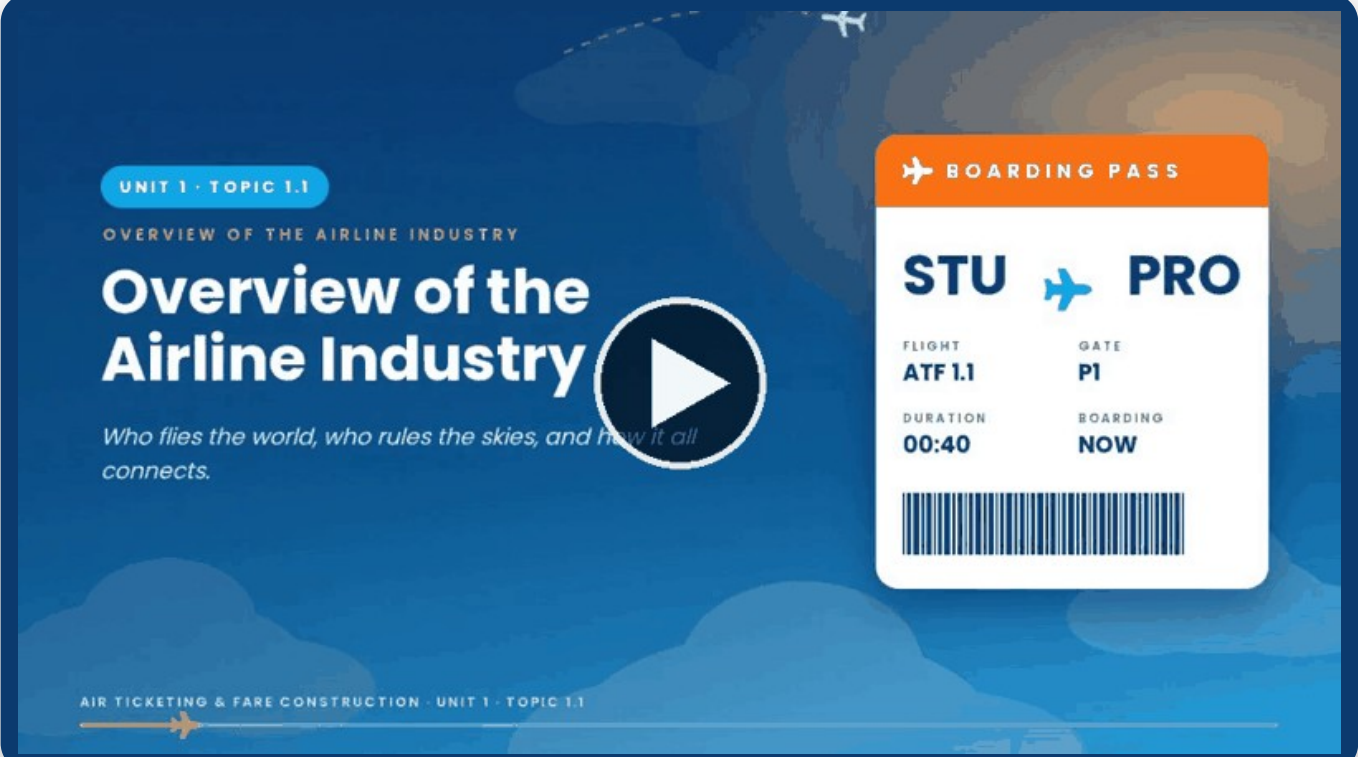
LECTURE

BOARDING

NOW

TOPIC 1.1

In-Flight Movie: Topic Intro



UNIT 1 · TOPIC 1.1

OVERVIEW OF THE AIRLINE INDUSTRY

Overview of the Airline Industry

Who flies the world, who rules the skies, and how it all connects.

BOARDING PASS

STU		PRO
FLIGHT ATF 1.1	GATE P1	
DURATION 00:40	BOARDING NOW	



AIR TICKETING & FARE CONSTRUCTION · UNIT 1 · TOPIC 1.1

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**02**

TOPIC 1.1

Pre-Flight Question



THINK ABOUT IT

If every airline in the world stopped for one day, who would feel it first — and who would you never have guessed?

**THINK**

30 seconds alone

**PAIR**

1 minute with a neighbour

**SHARE**

2-3 answers with the class



TOPIC 1.1

Today's Flight Plan

1

1.1.1

Introduction to the airline industry: key players, stakeholders and market share

2

1.1.2

Evolution of the industry: major milestones and regulators (IATA, ICAO, DGCA)

3

1.1.3

Types of airlines: full-service, low-cost, charter and cargo

4

1.1.4

Global air transport network: hubs, flight operations and international routes



BY LANDING, YOU WILL

- Identify the key players and stakeholders in commercial aviation
- Explain the roles of IATA, ICAO and DGCA
- Classify airlines by business model
- Describe how hubs and routes form a global network

Pedagogy: Lecture-Based Teaching-Learning



TOPIC 1.1.1

The Airline Industry at a Glance

Aviation is the fastest way to move people and goods across the planet.

~5 bn

passenger journeys per year
worldwide (IATA estimate,
2025)

~340

member airlines in IATA,
carrying over 80% of global
traffic

3rd

India's rank among the
world's largest domestic
aviation markets

60%+

IndiGo's approximate share
of India's domestic market
(2025)



Figures change every year — encourage students to check the latest IATA and DGCA traffic data before exams and interviews.



TOPIC 1.1.1

Key Players & Stakeholders

A single flight depends on a whole ecosystem working together.

**Airlines**

Operate flights and sell seats — e.g., Air India, IndiGo, Emirates, Lufthansa.

**Airports & ANSPs**

Airports (DEL, BOM) provide infrastructure; AAI manages air navigation in India.

**Regulators & Government**

DGCA (safety), MoCA (policy), BCAS (security), plus ICAO globally.

**Distribution Partners**

GDS (Amadeus, Sabre, Travelport), travel agents and OTAs sell tickets.

**Support Industries**

Manufacturers (Airbus, Boeing), lessors, MROs, ground handlers, fuel suppliers.

**Passengers & Shippers**

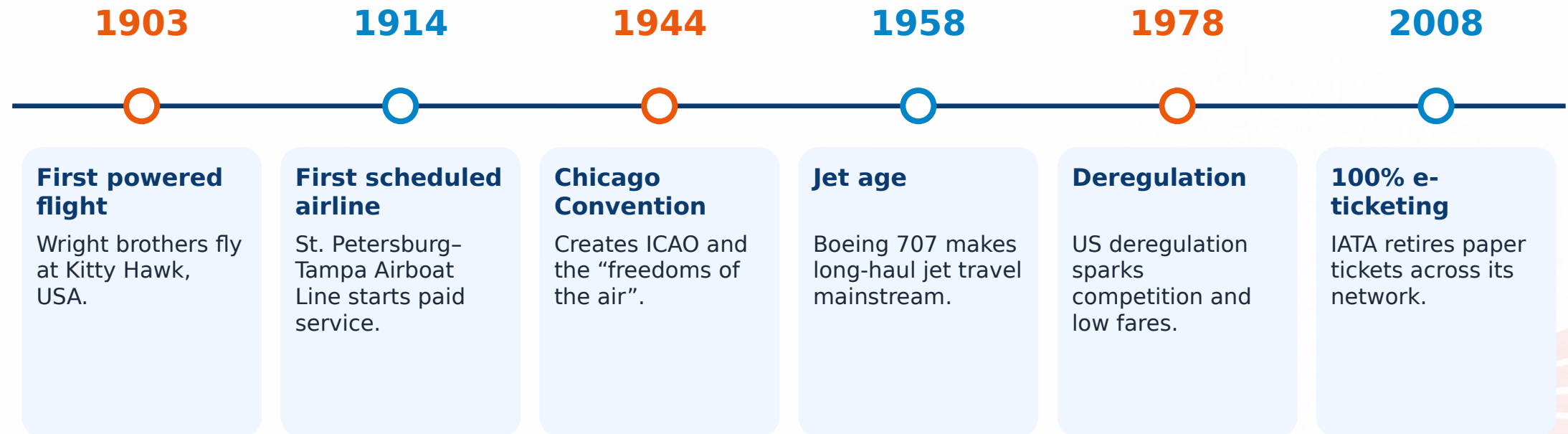
The customers whose demand drives every schedule and fare.



TOPIC 1.1.2

Evolution: Milestones that Shaped Flying

From a 12-second flight to a 5-billion-passenger industry.



TOPIC 1.1.2

The Regulators: IATA, ICAO & DGCA

Three bodies, three levels — industry, global government and national.



ICAO

UN agency formed by the 1944 Chicago Convention, HQ Montreal. Sets global standards (SARPs) for safety, security, navigation and airport/airline codes.



IATA

Trade association of airlines, founded 1945 in Havana. Runs fare/ticketing standards, BSP settlement, agency accreditation and airline/airport codes.



DGCA

India's civil aviation regulator under MoCA. Issues licences, certifies aircraft, audits safety and publishes passenger-rights rules (CARs).



TOPIC 1.1.3

Types of Airlines: Business Models

How an airline makes money decides how it flies, prices and serves.

Model	Key features	Pricing	Examples
Full-Service (FSC)	Multiple cabins, meals, lounges, alliances, hub networks	Premium, bundled	Air India, Emirates, Singapore Airlines
Low-Cost (LCC)	Single cabin, one aircraft type, quick turnarounds, point-to-point	Low base fare + add-ons	IndiGo, Akasa Air, Ryanair
Charter	Flies on demand for tour operators, groups, events or VIPs	Whole-aircraft hire	TUI Airways, private charters
Cargo	Carries freight and mail only; belly cargo on passenger jets too	Per kg / volume	FedEx, UPS, Blue Dart Aviation
Regional	Smaller aircraft connecting tier-2/3 cities to hubs	Often UDAN-supported	Alliance Air, Star Air, Fly91

Note: Hybrid carriers blur the lines — many FSCs now sell “basic” fares, and LCCs sell business-style seats.

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TOPIC 1.1.3

Full-Service vs Low-Cost: Inside the Cabin



Full-Service Carrier

- Economy, Premium Economy, Business, First
- Meals, baggage and seat choice often included
- Lounges, loyalty tiers and alliance benefits
- Hub-and-spoke network with connections
- Sold widely through GDS and agents

VS



Low-Cost Carrier

- Single all-economy cabin (mostly)
- Unbundled: pay for bags, seats, meals
- High aircraft utilisation, 25–35 min turns
- Point-to-point, secondary airports
- Direct website/app sales dominate



TOPIC 1.1.4

Hubs, Spokes & the Global Network

Airlines design networks to connect the most people with the fewest aircraft.

**Hub-and-spoke**

Flights feed a central hub (e.g., Dubai for Emirates, Delhi for Air India) where passengers connect.

**Point-to-point**

Direct city pairs without connections — favoured by LCCs for speed and simplicity.

**Connection banks**

Arrivals and departures are grouped in “waves” to minimise transfer times at hubs.

**WHY IT MATTERS**

A hub with 50 spokes can connect 1,225 city pairs with just one stop. That is why Gulf carriers can link almost any two cities in the world via Dubai, Doha or Abu Dhabi.



TOPIC 1.1.4

Flight Operations & International Routes

Every international route is built on rights, codes and coordination.



Freedoms of the Air

Traffic rights (1st-9th freedoms) define where a foreign airline may fly and carry passengers.



Bilateral Agreements

Countries negotiate seats and frequencies, e.g., India-UAE air services agreement.



Location Codes

IATA 3-letter city/airport codes (DEL, BOM, LHR) are used in every booking and ticket.



Operations Control

OCC teams manage dispatch, crew, weather and delays around the clock.



TOPIC 1.1

Cabin Crew Activity: Name the Stakeholder

**PEDAGOGY****Lecture-Based Teaching-Learning****TIME · 8 min****FORMAT · Whole class****1**

Instructor reads a short scenario, e.g., “Your flight is delayed by fog at Delhi.”

2

Students list every stakeholder involved (airline, AAI, airport, DGCA, passengers...).

3

Classify each: regulator, operator, distributor or customer.

4

Wrap up: which stakeholder does a ticketing agent talk to most?



TOPIC 1.1*Click to reveal each answer*

Pre-Landing Check

Q1**Which body was created by the 1944 Chicago Convention?**

- A) IATA
- B) ICAO
- C) DGCA
- D) BCAS

ANSWER**B****Q2****IndiGo is best classified as a...**

- A) Full-service carrier
- B) Charter airline
- C) Low-cost carrier
- D) Cargo airline

ANSWER**C****Q3****In which year did IATA move to 100% e-ticketing?**

- A) 1978
- B) 1995
- C) 2008
- D) 2016

ANSWER**C****Q4****A network where flights feed a central airport is called...**

- A) Point-to-point
- B) Hub-and-spoke
- C) Circle trip
- D) Codeshare

ANSWER**B**

SAFE LANDING

Key Takeaways

- ✓ Aviation is an ecosystem: airlines, airports, regulators, distributors and passengers
- ✓ ICAO sets global government standards; IATA sets airline commercial standards; DGCA regulates India
- ✓ Airlines differ by model: FSC, LCC, charter, cargo and regional
- ✓ Hubs, traffic rights and IATA codes make the global network work

EXIT TICKET Write 1 thing you learned today + 1 question you still have.

NEXT DEPARTURE

Topic 1.2 — Types of Air Tickets

Thank you · Questions?